No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC.,

Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

Petitioner,

V.

MILTON WEINBERG,

Respondent.

On Writ of Certiorari to the
United States Court of Appeals
for the Thirteenth Circuit

BRIEF FOR PETITIONER

Team P29
Counsel for Petitioner

Oral Argument Requested

QUESTIONS PRESENTED

I. An entity violates the automatic stay by "any act . . . to exercise control over property of the estate" under 11 U.S.C. § 362(a)(3). Milton Weinberg, the Creditor, retained possession of repossessed snowplows from Christopher Clemons, the Debtor, after Mr. Clemons filed for Chapter 11 bankruptcy and made demand for return of the snowplows. Did Mr. Weinberg's retention of Mr. Clemons' snowplows violate the automatic stay?

II. 11 U.S.C. § 503(b)(3)(D) only allows administrative expenses for substantial contribution in Chapter 9 and 11 cases. Mr. Weinberg made a substantial contribution to the bankruptcy estate after Mr. Clemons converted his case into Chapter 7. Does 11 U.S.C. § 503(b)(3)(D) prohibit the court from awarding administrative expenses for Mr. Weinberg's substantial contribution in a Chapter 7 case?

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OPINIONS BELOW

The Bankruptcy Court for the State of Moot entered an order finding that the Creditor, Milton Weinberg, had not violated the automatic stay under section 362(a)(3) of the Bankruptcy Code and held that merely retaining property that was lawfully repossessed is not an "act to . . . exercise control over property of the estate." R. at 6. Christopher Clemons, the Debtor, timely appealed, but the Bankruptcy Appellate Panel stayed the pending appeal. R. at 7. The Bankruptcy Court for the State of Moot also granted Weinberg's motion for allowance of a substantial contribution administrative expense pursuant to Section 503(b). R. at 8. The Trustee timely appealed that finding. The bankruptcy appellate panel consolidated the two appeals with the consent of the parties, and the appellate panel affirmed on both issues. R. at 9. This appeal follows.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS INVOLVED

The relevant statutory provisions involved in this case are reproduced in Appendices A through G.

STATEMENT OF THE CASE

Christopher Clemons sought to acquire new snowplows for his seasonal business, Backstreets Plowing Incorporated ("Debtor"). R. at 3. The Debtor, however, did not itself have the funds to acquire these new snowplows. R. at 4. Milton Weinberg, an acquaintance of Clemons, loaned $450,000 to the Debtor in return for a security interest in the snowplows and a personal guarantee by Clemons. R. at 4. The Debtor agreed to make monthly payments to Weinberg and purchased its new snowplows in August 2015. R. at 4. Soon after, the Debtor submitted a bid for and was awarded a flat-rate plowing contract with the City of Badlands. R. at 4–5.

Following a very mild winter in Badlands, the Debtor found itself with a larger than expected profit. R. at 5. However, Clemons did not make the December 2015, January 2016, or February 2016 loan payments to Weinberg. R. at 5. Accordingly, Weinberg filed suit on the promissory note and on Clemons' personal guarantee in April 2016 in the Circuit Court for the State of Moot. R. at 5.

In October 2016, Weinberg obtained a default judgment against both the Debtor and Clemons, jointly and severally, for $450,000. R. at 5. Weinberg refrained from collecting his judgment until January 2017, at which time the Debtor lacked the funds to make payments. R. at 5–6. Weinberg subsequently repossessed the Debtor's snowplows. R. at 6. In other words, the Debtor's business was simply not born to run. Finding itself without the snowplows and thus unable to fulfill the plowing contract with the City of Badlands, the Debtor filed a Chapter 11 bankruptcy petition. R. at 6.

Two current appeals arise from this bankruptcy petition.[1] The first appeal relates to Weinberg's violation of the automatic stay by failing to return the snowplows to the Debtor. After the Debtor filed for Chapter 11 bankruptcy, the Debtor's attorneys demanded that Weinberg immediately return the snowplows, but Weinberg refused to comply. R. at 6. The Debtor filed a motion asking the bankruptcy court to find that Weinberg's retention of the trucks was a violation of the automatic stay under section 362(a)(3). R. at 6. The bankruptcy court found that Weinberg's actions were not a violation of the automatic stay, and the Debtor filed a timely appeal. R. at 6.

Around that time, Clemons realized that efforts to reorganize the Debtor would be fruitless because the City of Badlands city council decided not to offer the Debtor a new contract for the following winter. R. at 7. The Debtor, therefore, converted the Chapter 11 case to a Chapter 7 case. R. at 7. In May 2017, following this conversion, Weinberg decided to pursue collection efforts against Clemons on the previous judgment relating to Clemons' personal guarantee. R. at 7. The second appeal, relating to Weinberg's recovery of expenses for a substantial contribution, arises from those collection efforts.

Weinberg discovered that soon after his initial filing of the lawsuit against the Debtor and Clemons, the Debtor made direct cash transfers of approximately $100,000 to a bank account in Clemons' daughter's name, Patti Clemons. R. at 7. Weinberg provided the Trustee with evidence to establish that the transfers were fraudulent. R. at 8. The Trustee then filed a complaint against Patti Clemons to recover the transfers under sections 548 and 550 of the Bankruptcy Code. R. at 8. Patti Clemons quickly agreed to pay $75,000 to the estate as a settlement. R. at 8.

[1] The Debtor later converted the Chapter 11 case to a Chapter 7 case when it was clear that the Debtor would not be able to successfully reorganize since the City of Badlands would not be offering the Debtor a new contract for the following winter. (R. at 7).

Once the bankruptcy court approved this settlement, Weinberg filed a motion seeking allowance of an administrative expense for a substantial contribution under section 503(b). R. at 7. The Trustee admitted that Weinberg did make a substantial contribution to the estate but steadfastly opposed Weinberg's motion, arguing that administrative expenses for substantial contributions are not allowed in a Chapter 7 case under section 503(b)(3)(D). R. at 8. The bankruptcy court granted Weinberg's motion, thus giving him an administrative expense of $25,000. R. at 8. The Trustee timely appealed. R. at 8.

After the Trustee filed the appeals, Tenth Avenue Freeze, Inc. ("Tenth Avenue"), one of the Debtor's competitors, offered to purchase substantially all of the Debtor's assets, including the snowplows, in September 2017. R. at 8. The offer, however, was contingent upon the Trustee immediately obtaining possession of and conveying title to the snowplows that Weinberg previously repossessed. R. at 8. The Trustee believed Tenth Avenue's offer to be the best way to maximize value for the Debtor's creditors and attempted to negotiate with Weinberg to return to trucks. R. at 8. Weinberg refused to return them, and the Trustee continued his appeal regarding Weinberg's alleged violation of the automatic stay. R. at 8. Tenth Avenue withdrew its offer when it realized that the Trustee would not be able to convey title of the snowplows before the plowing season began. R. at 8. Stone Pony offered $100,000 less than Tenth Avenue for all of the Debtor's assets, excluding the trucks. R. at 9. The Trustee accepted this offer, reasoning that the Debtor's remaining assets would only diminish in value once winter was over. R. at 9. The bankruptcy court approved this sale in February 2018.

The Trustee continues to pursue the two appeals. The appeals were consolidated before the Bankruptcy Appellate Panel, which affirmed on both issues. The Trustee appealed both decisions to this Court. R. at 9.

SUMMARY OF THE ARGUMENT

Section 362(a)(3) prevents any act to exercise control over property of the estate by a creditor. By refusing to turn over the snowplows, Weinberg acted to exercise control of property of Clemons's estate. Therefore, Weinberg violated the automatic stay.

First, the plain language guides interpretation of section 362(a)(3). Where a statute is unambiguous, the ordinary meaning of its terms controls. The ordinary meaning of the phrase "any act . . . to exercise control over property of the estate" forbids a creditor from remaining in possession of property of the estate.

Second, prohibiting creditors from retaining estate property is consistent with other relevant provisions. Section 542(a)(1) requires automatic turnover of property held by a creditor, thereby subjecting the creditor to violation of the automatic stay for failure to turn over. In addition, Section 363(e) supports the view of required turnover for property seized prepetition by ensuring adequate protection in such circumstances.

Third, Congress intended the additional language in the 1984 amendments to reach property seized prepetition. The inclusion of additional language across multiple provisions regarding property in the possession of a creditor prepetition indicates Congress' intention to reach passive retention. Even without legislative history, Congress can override the Court's presumption of pre-enactment practice.

Finally, equitable considerations weigh heavily in favor of preventing creditors from retaining property of the estate. Courts must construe the Bankruptcy Code liberally in favor of debtors and strictly against creditors. Preventing retention of estate property is efficient for the court, fair to the debtor, and fair to creditors.

Likewise, the Court should require that creditors adhere to the Code in the interests of preserving the integrity of the bankruptcy process. Weinberg failed to use the mechanisms expressly provided in the Code. This Court should maintain the integrity of the express language of the Code rather than allow an administrative expense for a substantial contribution in a Chapter 7 case.

First, section 503(b)(3)(D) limits substantial contribution administrative expenses to Chapters 9 and 11. Where a subsection directly addresses and places restrictions on the type of administrative expense sought, it must have effect. While the use of the term "including" in section 503(b) clearly provides a general, non-exhaustive list of permitted administrative expenses, section 503(b)(3)(D) specifically limits that general list. The Court should follow the specific limitations Congress provided in section 503(b)(3)(D) rather than rely on the general language of section 503(b).

Second, the Court must apply its equitable powers within the confines of the Code. An expansive reading of section 503(b)(3)(D) would usurp the authority expressly granted to the Trustee. Congress imposed upon the trustee the duty to act on behalf of the bankruptcy estate. Pursuant to this duty, the trustee may avoid any transfer made by the debtor to fraudulently conceal property of the estate. And if the trustee declines to use this power, the court may grant a creditor derivative standing to pursue a fraudulent transfer in the trustee's stead. Respondent had the means of recovering the expenses at issue here, and the Court should decline to distort the Code simply because he failed to take advantage of them.

ARGUMENT

The facts of this case are undisputed. (R. at 3 n. 2). The issues presented on appeal concern purely questions of law and the proper standard is *de novo*. *Nardei v. Maughan (In re Maughan)*, 340, 341 F.3d 337 (6th Cir. 2003).

I. SECTION 362(a)(3) PROHIBITS RETENTION OF ESTATE PROPERTY AFTER A DEBTOR FILES A BANKRUPTCY PETITION.

Interpretation of section 362(a)(3) begins with the language "any act . . . to exercise control over property of the estate," which forbids retention of estate property. 11 U.S.C. § 362(a)(3); *United States v. Ron Pair Enters.*, 489 U.S. 235, 240–41 (1989). The Bankruptcy Code favors interpretations of statutes that are consistent with other provisions and disfavors interpretations that negate other provisions; preventing retention under section 362(a)(3) is consistent with other relevant provisions. *Citizens Bank v. Strumpf*, 516 U.S. 16, 20 (1995). When Congress amends the language of a statute, Congress can depart from pre-enactment practices even without explaining why in legislative history, and Congress indicated this departure here through substantial additions to the Code. *Dewsnup v. Timm*, 502 U.S. 410, 422–23 (1992) (Scalia, J., dissenting). Finally, equitable considerations drive interpretation of Bankruptcy statutes, and courts should balance the interests of the parties and the court in construing a statute, which section 362(a)(3) prudently balances by prohibiting retention of estate property. *See California Empl. Dev. Dep't v. Taxel (In re Del Mission)*, 98 F.3d 1147, 1151 (9th Cir. 1996). All of these factors justify the conclusion that section 362(a)(3) prohibits retention of estate property after the debtor files a bankruptcy petition.

A. The language "any act . . . to exercise control over property of the estate" of section 362(a)(3) prohibits retention of property repossessed prepetition.

Statutory construction begins and ends with the language "any act . . . to exercise control over property of the estate." *Ron Pair Enters.*, 489 U.S. at 240–41. Where the statute leaves the term undefined, the ordinary, everyday meaning guides interpretation of the term. *See Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). In section 362(a)(3), the terms "any act" and "exercise control" are not terms specifically defined by the statute. Therefore, the ordinary meaning of "any act," "exercise control," and "property of the estate" must guide the Court's interpretation. *Thompson v. GMAC, LLC*, 566 F.3d 699, 702. (7th Cir. 2009). The ordinary meaning of "any act . . . to exercise control over property of the estate" forbids a creditor from retaining property of the estate seized prepetition.

1. *The language "any act" includes acts to retain possession.*

The operative language in this statute is "any act." *WD Equipment, LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017). Black's Law Dictionary defines "act" as "something done or performed, esp. voluntarily." *Act*, BLACK'S LAW DICTIONARY (10th ed. 2014). Nothing in the definition of "act" limits the ordinary meaning to affirmative acts only. *See id.* This definition of "act" is sufficiently broad to include the acts of retaining; refusing to turn over; and possessing, which precisely characterize Weinberg's actions regarding Clemons' snowplows. R. at 6, 8.

Inclusion of the term "any" categorically expands the kinds of acts included under section 362(a)(3) to even so called "passive acts." *Rutherford v. Auto Cash, Inc. (In re Rutherford)*, 329 B.R. 886, 896 (Bankr. N.D. Ga. 2005). The term "any" emphasizes the wide and expansive reach of the word modified. *Boyle v. United States*, 556 U.S. 938, 944 (2009) ("The term 'any' ensures that the definition has a wide reach, . . . and the very concept of an association in fact is

expansive."). If the statute only prohibits affirmative acts, the word "any" becomes superfluous. *See Moskal v. United States*, 498 U.S. 103, 109 (1990) (holding that "a court should give effect, if possible, to every clause or word of a statute"). In addition, if Congress intended only to prohibit affirmative acts, it could have expressly limited the language to only affirmative acts rather than expanding it to "any act." *See Boyle*, 556 U.S. at 944 (explaining the significance of the word "any" to broaden terms in a statute). The term "any" expands the scope of the term "act" in the statute.

Even if the term "act" only includes "affirmative acts," a creditor who has a "duty to turn [property] over to the debtor," and refuses to do so, acts affirmatively. *Rutherford*, 329 B.R. at 895. Ordinarily, "refusal to act is not an 'act.'" *Brown v. Addison, Inc. (In re Brown)*, 210 B.R. 878, 884 (Bankr. S.D. Ga. 1997) (citing *Strumpf*, 516 U.S. at 221). However, in the context of a duty to turn over under section 542(a), the refusal to do what is required is an act. *Id.* If section 542(a) imposes a duty to turn over property, then the retention of that property is an affirmative act. *Rutherford*, 329 B.R. at 895. The word act must include acts of retention because requiring an affirmative act would "rob the stay of its effectiveness." *Id.* at 896. In this case, the lower court's interpretation of "act" in section 362(a)(3) as requiring an affirmative act permitted Weinberg to completely derail Clemons' Chapter 11 reorganization attempt by depriving him of property that Weinberg had a duty to turn over. R. at 6.

2. *The language "to exercise control" prohibits retention of estate property*.

Retaining possession of estate property is "the essence of 'exercising control' over possession." *Thompson*, 566 F.3d at 703. The ordinary meaning of the word "control" is "to exercise power or influence over something." *Unified People's Fed. Credit Union v. Yates (In re Yates)*, 332 B.R. 1 (B.A.P. 10th Cir. 2005) (citation omitted). Despite the straightforward

application of this language to acts of retaining possession, some courts find the language ambiguous because it is capable of more than one meaning. *In re Young*, 193 B.R. 620, 624 (Bankr. D.D.C. 1996).

Those courts propose that to "exercise control" tightens the language of section 362(a)(3) to prohibit causes of action and intellectual property. *See e.g.*, *WD Equipment, LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 950 (10th Cir. 2017). But, the proposed alternative meanings all fail because the language "to obtain possession" already proscribes those kinds of acts. *Rutherford*, 329 B.R. at 894–895 (citing *Transouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676 (B.A.P. 6th Cir. 1999)). Construing the language "to exercise control" to have the same meaning as "to obtain possession" would leave part of section 362(a)(3) superfluous because the provision already prohibited acts to obtain. *Id.* If the common understanding of "exercise of control means anything, it means the ability to keep others from access to or use of an object." *Yates*, 332 B.R. at 4. For this reason, "exercise control" must prevent retention of property in order to give meaning to all language in the statute.

3. *The language "property of the estate" includes property outside of the debtor's possession at the time of filing.*

Section 362(a)(3) brings all "property of the estate" under the purview of the automatic stay. 11 U.S.C. § 362(a)(3). Section 541(a) defines "property of the estate" as "all legal or equitable interests of the debtor," "wherever located and by whomever held." *See* 11 U.S.C. § 541(a), (a)(1). This broad language must include property outside of the debtor's possession at the time the debtor files the petition.

Clemons' snowplows are "property of the estate" under the Code because Clemons had both a legal interest and an equitable interest in the snowplows at the filing of his petition. He had a legal interest in the snowplows because he retained title of the vehicles after the repossession by

Weinberg. R. at 6 n. 4. Additionally, Clemons had an equitable interest in the snowplows because they were necessary for the fulfillment of his contract. *See In re Brown*, 734 F.2d 119, 123 (2d Cir. 1984) (defining equitable interests broadly in favor of debtors). By twisting the requirements of the Code, some courts require that in addition to having both a general legal and an equitable interest in the property, the debtor must also have a possessory interest in the property at the time of filing for bankruptcy. *See e.g.*, *In re Hall*, 502 B.R. 650, 669 (Bankr. D.D.C. 2014). This view fails because it is inconsistent with the Bankruptcy Code and Supreme Court precedent. The broad definition of property of the estate under section 541 includes *all* legal or equitable interests, regardless of who has possession, to give the debtor subsequent possession under the turnover provision of section 542(a) and the automatic stay in section 362(a). *See* 11 U.S.C. § 541. Nowhere in the definition did Congress make a distinction between different rights of property.

Even if a debtor must have a possessory interest in the property, Clemons retained his equitable right of possession in the snowplows after repossession because "a repossession does not alter the conclusion that the equitable interest is property of the estate." *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2d Cir. 2013). The Supreme Court took the same view in *United States v. Whiting Pools*, finding that "[s]everal of these provisions bring into the estate property in which the debtor did not have a possessory interest at the time the bankruptcy proceedings commenced." 462 U.S. 198, 205 (1983); *see also id.* at 205 n. 9 ("'The scope of this paragraph [§ 541(a)(1)] is broad. It includes all kinds of property, including tangible or intangible property, causes of action (see Bankruptcy Act § 70a(6)), and all other forms of property currently specified in section 70a of the Bankruptcy Act.' *Id.*, at 367; S. Rep. No. 95-989, p. 82 (1978)".). The Court's view is more consistent with the Code because it recognizes that the definition

property of the estate includes non-possessory interests, as the broad language of the Code indicates. Clemons' snowplows are property of the estate and subject to the automatic stay. Therefore, Weinberg violated the stay by retaining possession of them.

B. The proper function of other relevant bankruptcy provisions indicates that section 362(a)(3) prohibits retention of estate property.

Statutory construction has a longstanding presumption that sections within a code be consistent with each other. *K Mart Corp. v. Cartier*, 486 U.S. 281, 291 (1988) (stating that, in addition to plain language, the language and design of the "statute as a whole" guides interpretation). The turnover provision under section 542(a) correlates with section 362(a)(3) by imposing a self-executing duty to turn over property of the estate. *Yates*, 332 B.R. at 4. In the same way, the adequate protection provision under section 363(e) correlates with section 362(a)(3) by guaranteeing adequate protection for property of which the automatic stay prevents retention. *Gouveia v. IRS (In re Quality Health Care)*, 215 B.R. 543, 580–81 (Bankr. N.D. Ind. 1997). The harmony between sections 362(a)(3), 542(a), and 363(e) indicates that section 362(a)(3) prevents retention of estate property.

1. *The requirements in section 542(a) are consistent with the prohibitions in section 362(a)(3)*

Section 542(a) requires that "an entity . . . in possession, custody, or control of property that the trustee may use, sell, or lease under 363 of this title . . . shall deliver to the trustee . . ." subject to enumerated exceptions not at issue here. 11 U.S.C. § 542(a). The word "shall" is mandatory language and prevents continued exercise control over property of the estate. *Yates*, 332 B.R. at 4. In this way, "[section] 542(a) works to avoid what § 362(a) forbids – the retention of property of the estate after filing." *Id.* By imposing an affirmative duty to return estate property, "a creditor's refusal to comply with that duty constitutes an 'act' within the meaning of

section 362(a)(3)." *Rutherford*, 329 B.R. at 896. Therefore, the fact that section 362(a)(3) prohibits retention is congruent with the interpretation of section 542(a) that requires immediate turnover. Upon commencement of Clemons' Chapter 11 case, section 542(a) required Weinberg either to turn over the snowplows to the trustee or to plead one of the enumerated exceptions to section 542(a) in good faith. *In re Bernstein*, 252 B.R. 846, 540 (Bankr. D.D.C. 2000). By failing to comply with the turnover provision in section 542(a), Weinberg violated section 362(a)(3) of the automatic stay.

a. Section 542(a) imposes a self-executing turnover of estate property.

Requests for turnover of estate property are sufficient to require a creditor to turn property over, even without a court order because section 542(a) is self-executing. *Weber*, 719 F.3d at 79. Self-executing simply means that it "does not require that the trustee take any action or commence a proceeding or obtain a court order to compel the turnover." *Id.* (citing COLLIER ON BANKRUPTCY § 542.02 (16th ed. 2012)) (endorsing the view that section 542(a) is self-executing). The fact that section 542(a) has exceptions, such as "unless such property is of inconsequential value or benefit to the estate," some courts mistakenly conclude that section 542(a) is not self-executing. 11 U.S.C. § 542(a); *see e.g.*, *In re Hall*, 502 B.R. at 662. This, along with the view that section 542(a) is not self-executing because it lacks an enforcement provision, ignores the fact that sections 542(a) and 362(a) work together to require turnover. *Transouth Fin. Corp.*, 234 B.R. at 683; *see e.g.*, *In re Hall*, 502 B.R. at 655 (finding that lack of enforcement provision means section 542(a) is not self-executing).

i. *The exceptions in section 542(a) are consistent with self-execution*.

The enumerated exceptions from sections 542(b), (c)(2), and (d) limit the property subject to turnover, which means section 362(a)(3) only imposes a penalty for violation of

property limited by the same exceptions. *In re Gerwer*, 898 F.2d 730, 772 (9th Cir. 1990). Therefore, it is possible for section 542(a) to be self-executing to the extent that a party decides to withhold and affirmatively argue one of the enumerated exceptions without requiring the trustee to compel turnover by motion. Section 542(a) is self-executing without an exception for adequate protection. *Thompson*, 566 F.3d at 706. The fact that section 542(a) enumerates other exceptions strongly indicates the preclusion of implied exceptions. *In re Gerwer*, 898 F.2d at 732. Section 542(a) has no exception for adequate protection because a creditor must comply with the turnover provision but can file a section 362(f) expedited motion for adequate protection after turnover. *Expeditors Int'l v. Colortran, Inc. (In re Colortran, Inc.)*, 210 B.R. 823, 827–28 (B.A.P. 9th Cir. 1997). Because a creditor can comply with the statute, including its exceptions, neither the presence of exceptions nor the absence of a specific exception for adequate protection indicates that section 542(a) is not self-executing.

ii. *Section 542(a) relies on the automatic stay for enforcement*.

Section 542(a) lacks an enforcement provision, which strongly suggests that the provision relies on the automatic stay for enforcement. *See In re Abrams*, 127 B.R. 239, 243 (B.A.P. 9th Cir. 1991). Property subject to automatic turnover under sections 542(a) and 541 is forbidden under section 362(a)(3). *Yates*, 332 B.R. at 4. By connecting these two provisions, the Code brings enforcement of a section 542(a) turnover under penalty that violation of the stay requires under section 362(h). *In re Abrams*, 127 B.R. at 242–43. This method of enforcement for section 542(a) is a more logical interplay between the Code provisions and more efficient than enforcing section 542(a) through contempt orders by the court. *See id*. at 243 (explaining how sections 362 and 542 work together). Therefore, section 542(a) compels turnover to bring property under the automatic stay, which provides enforcement. *Yates*, 332 B.R. at 4.

b. The Supreme Court in *Whiting Pools* endorses a self-executing view of section 542(a).

Finally, the Supreme Court's interpretation of section 542(a) in *Whiting Pools* indicates that turnover is self-executing for property seized pre-petition. 462 U.S. at 205–06. In reaching this conclusion, the Court found that the self-executing view of turnover under section 542(a) is consistent with other Bankruptcy Code provisions. *Id.* at 208. The Supreme Court recognized that an interpretation of section 542(a) that is not self-executing would render section 541(a) largely superfluous. *Id.* at 207 n.15. Section 541(a) defines the property of the estate "wherever located and by whomever held," implying that the trustee can file an order for turnover. 11 U.S.C. § 541(a); *see also Weber*, 719 F.3d at 79. If a trustee can already file a turnover under section 541(a), interpreting section 542(a) as requiring a trustee to file a motion for turnover renders section 542(a) superfluous. The Supreme Court also noted that the self-executing view of section 542(a)(3) harmonizes with section 363(e) for secured creditors by requiring courts to ensure adequate protection for property once the creditor turns it over. *Whiting Pools*, 462 U.S. at 211–12. The Supreme Court's decision is well-reasoned, instructive guidance for making section 542(a) self-executing.

2. *Section 363(e) indicates that turnover precedes adequate protection.*

The adequate protection provision of section 363(e) supports the view that section 362(a)(3) prohibits passive retention. By its plain terms, section 363(e) states that "on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court . . . shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest." 11 U.S.C. § 363(e). While the automatic stay under section 362(a)(3) and the turnover provision under section 542(a) create a duty for creditors to turn over property of the estate, section 363(e) ensures that the court can

protect creditor's interest by granting the right of adequate protection. *Whiting Pools*, 462 U.S. at 207; *In re Abrams*, 127 B.R. at 243. By this reasoning, the Code prevents creditors from securing adequate protection through methods of self-help because the Code instead requires surrender of the property as a precondition for the Court to grant adequate protection. *Weber*, 719 F.3d at 81.

If Congress intended for a creditor to withhold turnover until the creditor could ensure adequate protection, it could have clearly indicated this through the statute. *Transouth Fin. Corp.*, 234 B.R. at 684 (stating that "when Congress intended 'adequate protection' to limit a debtor's right to possession or use of property of the estate, it unmistakably said so," for example in section 363(c)(2)). Instead, Congress explicitly said that the *court* ensures adequate protection following turnover. *Rutherford*, 329 B.R. at 893. Nothing in the plain language of section 363(e) comes remotely close to permitting a creditor to retain property though self-help in order to receive adequate protection.

Similarly, nothing in the adequate protection provision permits adequate protection as an exception to the automatic stay. *Transouth Fin. Corp.*, 234 B.R. at 683; *see infra* section (B)(1)(a)(i). Section 363(p)(1) puts the burden of proving adequate protection on the trustee. 11 U.S.C. § 363(p)(1). Yet, this fails to show that the creditor should receive exception from turnover because adequate protection is only available on request. *In re Kain*, 86 B.R. 506, 512 (Bankr. W.D. Mich. 1988). If the creditor must make a demand for adequate protection, then the fact that the burden of proving adequate protection falls on the trustee makes no difference in whether adequate protection should be an exception to the automatic stay. *Thompson*, 566 F.3d. at 703–04 (noting that if a creditor is allowed to self-help, then the provisions to seek adequate protection or relief from the stay under section 362(d)(1) is meaningless because the creditor will

have no burden to accept adequate protection if not required to first turnover). Furthermore, the fact that a creditor can seek adequate protection from the court after turnover repudiates the view that a self-executing turnover provision in section 542(a) eliminates adequate protection. *Whiting Pools*, 462 U.S. at 211–12. On the contrary, section 542(a) ensures adequate protection by preventing creditors from self-help. *Transouth Fin. Corp.*, 234 B.R. at 683.

C. Congress intended the automatic stay to reach property seized prepetition under section 362(a)(3) in the 1984 amendments.

In 1984, Congress amended the language of several Bankruptcy Code provisions, including section 362(a)(3) to add the language "to exercise control." While Congress failed to provide legislative history explaining the meaning of the additional language, the majority of circuits correctly conclude that the amendments prohibit retention of estate property. *See In re Hall*, 502 B.R. at 654 (recognizing that the majority of circuits adopt the view of section 362(a)(3) preventing retention of property of the estate). The additional language contained in the 1984 amendments is sufficient to depart from pre-amendment practice, even without additional legislative history. *Dewsnup*, 502 U.S. at 422–23 (Scalia, J., dissenting).

The 1984 amendments added language of "wherever located and by whomever held" from section 541(a) and "to exercise control" from section 362(a)(3). These amendments came a year after the Supreme Court's decision in *Whiting Pools*—a decision that clarified the application of section 542(a) as a self-executing turnover for prepetition property seized by secured creditors. *See Thompson*, 566 F.3d at 702. The Code, pre-amendment, already prohibited seizures of intellectual property and causes of action post-petition, so the additional language is superfluous if "exercise control" only refers to intellectual property and causes of action. *Rutherford*, 329 B.R. at 894–95. Because the new language must have new meaning, and the already broad pre-amendment language did not include prepetition acts, the new

language logically must now include prepetition acts. *Id*. The Court should only follow pre-amendment practice when Congress fails to provide any intention to depart from pre-amendment practice. When Congress provides evidence for departing from pre-amendment practice, the Court must construe the statute consistently with the new amendments. *Cohen v. De La Cruz*, 523 U.S. 213, 221 (1998). Legislative history is helpful but unnecessary to indicate this intention. *Dewsnup*, 502 U.S. at 422–23 (Scalia, J., dissenting). Therefore, the Court should depart from pre-amendment practice in light of Congress' changes to the Code.

D. Allowing section 362(a)(3) to prevent passive retention is fair and efficient for the parties and the Bankruptcy Court.

Equity and efficiency, particularly for the debtor, drive the interpretation of bankruptcy provisions within the language of the Code. *In re Combustion Eng'g, Inc.*, 391 F.3d 190, 235–36 (3d Cir. 2004). The goal of bankruptcy is to help the debtor pay creditors, and the fundamental method of helping the debtor achieve this is the automatic stay. *In re Peake*, 588 B.R. 811, 829–30 (Bankr. N.D. Ill. 2018); *Eastern Air Lines v. Rolleston*, 111 B.R. 423, 430 (Bankr. S.D.N.Y. 1990) (citation omitted). For this reason, Court should construe the Bankruptcy Code "broadly in favor of the debtor and narrowly against creditors." *In re Peake*, 588 B.R. at 829–30. The interpretation of section 362(a)(3) that prevents retention of estate property favors efficiency for the court and fairness to the debtor and creditors.

1. *Debtors benefit more from regaining possession without filing turnover motions.*

The driving consideration for interpreting the Code is to "alleviate the financial strains on the debtor." *California Empl. Dev. Dep't v. Taxel (In re Del Mission)*, 98 F.3d 1147, 1151 (9th Cir. 1996). The Court should construe the Code liberally in favor of the debtor. *In re Peake*, 588 B.R. at 829–30. The interpretation that section 362(a)(3) forbids retention helps debtors because it saves the cost of filing turnover motions and allows immediate possession for use in

the reorganization. If Weinberg turned over the snowplows when the automatic stay came into effect, then this would have greatly benefited Clemons in his reorganization or liquidation through use of his property.

The automatic stay is most helpful to the debtor when "the onus to return estate property is placed upon the possessor" rather than the debtor. *Taxel*, 98 F.3d at 1151. Even if debtor can recover these costs, it is a major burden on the trustee to file motions against potentially multiple creditors for the return of estate property. *In re Young*, 193 B.R. at 627–28. Requiring an additional act by the debtor before the creditor must surrender the property would "place on the debtor or trustee the burden of undertaking a series of adversary proceedings to pull together the bankruptcy estate, and thereby increase the costs of administering the estate and decrease the assets available to effect a successful reorganization." *Weber*, 719 F.3d at 80. This time and effort requiring the "debtor to pursue the possessor" is a major burden in itself. *Taxel*, 98 F.3d at 1151. In fairness to the debtor, the Court must avoid this harm.

In addition, the debtor often needs possession of the property in order to assist in the reorganization or liquidation. *Thompson*, 566 F.3d at 702. A debtor should have their property without having to file a motion for turnover because a debtor's repossessed car is infinitely more useful to help the debtor get to work than "sitting idle in the creditor's lot." *Id*. Deprivation of the debtor's property, before or after petition, is equally severe in terms of the practical effects on the debtor's reorganization. *See Yates*, 332 B.R. at 5 ("This is precisely the result § 362 seeks to avoid") (citing *Whiting Pools*, 462 U.S. at 206–07). A creditor can sabotage the debtor's efforts to reorganize and thwart the purpose of the automatic stay by merely sitting back and failing to act when the Code imposes upon it an obligation to do so. *See Rutherford*, 329 B.R. at 891.

In this case, Clemons would have benefited by using the snowplows to try to reorganize. R. at 6. Even if Clemons failed to reorganize, his possession of the snowplows would have been more beneficial him than to Weinberg because the Trustee was in a position to liquidate at a more favorable price to pay Clemons' obligations. R. at 8. It makes little practical difference from the debtor's perspective whether a creditor obtains or retains property; either way, the debtor is deprived of the property. *Yates*, 332 B.R. at 5.

2. *Prohibiting retention of estate property under section 362(a)(3) is fair to creditors.*

Interpreting section 362(a)(3) to prevent retention of estate property by the creditor helps other creditors while fairly protecting the particular creditor's interests. Preventing retention of estate property is useful to creditors because it increases the value of the estate to benefit all creditors. *Thompson*, 566 F.3d at 707. At the same time, the particular creditor that must turn over property receives adequate protection and emergency relief in the event that such measures are necessary. *Rutherford*, 329 B.R. at 897. Allowing section 362(a)(3) to prevent retention of property is fairer to all creditors than the interpretation of section 362(a)(3) that allows creditors to unilaterally retain possession. Requiring Weinberg to return Clemons' snowplows would protect other creditor's interests while still preserving Weinberg's investment.

When considering an equitable interpretation of a bankruptcy provision, the court should consider the consequences that the interpretation will have not just on the particular creditor but also on all creditors. *See Thompson*, 566 F.3d at 707. Allowing one creditor to retain control of estate property is unfair to the rest of the creditors because it devalues the total estate and gives the particular creditor "a position above other secured creditors." *Id*. Permitting particular creditors to obtain a position above other secured creditors preempts the whole purpose of

bankruptcy because it encourages aggressive collection tactics that the debtor filed bankruptcy to avoid. *See In re Peake*, 588 B.R. at 830 (citing *Rolleston*, 111 B.R. at 430 (citation omitted)).

Preventing retention under section 362(a)(3) is fair to particular creditors who repossess property prepetition because other provisions in the Bankruptcy Code protect the particular creditor. *Yates*, 332 B.R. at 5–6. Some courts express concern that secured creditors could lose their lien interest without adequate protection if turnover is automatic. *In re Bernstein*, 252 B.R. at 850. On the contrary, the creditor's interest in the lien does not simply cease to exist when the creditor turns over the property because in doing so, the creditor receives the right of adequate protection under section 363(e). *See Rutherford*, 329 B.R. at 895–96. In addition, creditors have time to raise a defense without violating the stay. *Thompson*, 566 F.3d at 707. Even though turnover is automatic, the language in section 362(h) makes clear that the violation is not absolute because it still requires a "willful violation." *In re Abrams*, 127 B.R. at 243 ("Section 362(h) clearly does not impose absolute liability for violations of the stay in view of the required element of willfulness."). A creditor who incurs the cost of repossession might argue that preventing retention under section 362(a)(3) wastes this expense. *In re Young*, 193 B.R. at 62. However, repossession is still a useful tool because the creditor can still file an emergency petition for adequate protection when necessary. *See Thompson*, 566 F.3d at 707.

In this case, even if Weinberg personally benefited from retaining the snowplows, the entire estate lost both the ability to reorganize and to make a deal for $100,000 more because he refused to turn over the snowplows. R. at 6, 8. Other potential creditors could have avoided this unequitable loss if the court correctly applied section 362(a)(3) to prohibit Weinberg from retaining possession. The self-executing Code provisions protect other creditors' interests from the actions of creditors like Weinberg. Furthermore, self-executing turnover is fair to Weinberg

because the Code provides numerous options to file emergency petitions for relief from the stay and adequate protection. *Thompson*, 566 F.3d at 707.

3. *Self-executing turnover of estate property seized prepetition is efficient for the Court.*

Construing section 362(a)(3) to prevent retention of estate property under the automatic stay will allow the court to be more effective in administering bankruptcy proceedings. As the court in *Thompson* noted, "[t]he primary goal of reorganization bankruptcy is to group all of the debtor's property together in his estate such that he may rehabilitate his credit and pay off his debts." *Id*. at 702. Additionally, "this necessarily extends to all property, even property lawfully seized pre-petition," because the court must be able to assist the debtor in paying creditors. *Id.* (citation omitted). If the debtor must file a motion to compel a creditor to turn over property, then "the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced." *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773, 775 (8th Cir. 1989). Compelling the debtor to seek turnover with a motion simply ignores the fact that section 363(e) gives the *court* power to provide adequate protection, not the creditor. *Weber*, 719 F.3d at 81 ("The provisions authorizing imposition of such protection operate only upon application of the creditor to the Bankruptcy Court"). Preventing creditors from usurping the power of the court by withholding property of the estate is most conducive to the court's ability to conduct bankruptcy proceedings. *Thompson*, 566 F.3d at 704 ("[W]hile the creditor may suggest terms of adequate protection, it may not unilaterally condition the return of the property on its own determination of adequate protection." (citation omitted)). The Supreme Court in Whiting Pools endorsed the view that a creditor cannot refuse and held that "[t]he creditor with a secured interest in property included in the estate must look to this provision

[363(e)] for protection, rather than to the non-bankruptcy remedy of possession." *Whiting Pools*, 462 U.S. at 204. This Court should do the same.

By preventing passive retention of property of the estate and requiring automatic turnover, the court can be more efficient because it will avoid hearing countless motions compelling turnover. *See Transouth Fin. Corp.*, 234 B.R. at 689 (Stosberg, J., dissenting) (noting that adversary proceedings are efficient for the court). Instead, the court will only hear petitions that creditors bring for adequate protection; this will only happen when a creditor truly thinks adequate protection is at stake because section 363(e) empowers the court to provide adequate protection "with or without a hearing." *See* 11 U.S.C. § 363(e); *see Rutherford*, 329 B.R. at 892. In addition to being more consistent with the Code by compelling the creditor to seek adequate protection from the court, creditors will likely only seek adequate protection motions when a legitimate concern exists, rather than holding onto property simply because they can. *See Transouth Fin. Corp.*, 234 B.R. at 684 ("Entitlement to adequate protection . . . is triggered by a creditor's request to the bankruptcy court and 'if you don't ask for it, you won't get it.'") (citation omitted). By requiring turnover on penalty of the automatic stay, the court can efficiently balance the interests of creditors and debtors while ensuring that only cases where the creditor feels adequate protection is necessary. *See Taxel*, 98 F.3d at 1151.

II. SECTION 503(b)(3)(D) ALLOWS ADMINISTRATIVE EXPENSES FOR SUBSTANTIAL CONTRIBUTIONS ONLY IN CHAPTERS 9 AND 11.

The Bankruptcy Code establishes the boundaries for the equitable and efficient administration of the bankruptcy estate. *In re Combustion Eng'g, Inc.*, 391 F.3d at 235–36. And while equity is a primary consideration in bankruptcy, the equitable powers of the bankruptcy courts may only exist within the universe defined by the Bankruptcy Code. *Norwest Bank Worthington v. Ahlers,* 485 U.S. 197, 206 (1988). While Weinberg made a substantial

contribution to this case, he did so after the debtor converted his case to one under Chapter 7. According to the language of section 503(b)(3)(D), the court may only grant administrative expenses for substantial contributions in cases "under Chapter 9 or Chapter 11." 11 U.S.C. § 503(b)(3)(D). Therefore, granting Weinberg an administrative expense for his substantial contribution is inconsistent with the Code.

While the list of allowable administrative expenses in section 503(b) is non-exhaustive, section 503(b)(3)(D) creates a specific limit of that general provision. *See Lebron v. Mechum Fin. Inc.*, 27 F.3d 937, 945 (3d Cir. 1994). And where a specific provision conflicts with a general one, the specific must prevail. *Law v. Siegel*, 571 U.S. 415, 421 (2014). Use of the term "including" in sections 503(b) and 503(b)(3)(A), but not in section 503(b)(3)(D), demonstrates this interpretation. 11 U.S.C. §§ 503(b), (b)(3)(A), (b)(3)(D). Where a statute includes a specific term in one section of a provision, the absence of the term in another is presumed to be intentional. *See In re Hackney*, 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006). And only by giving effect to the intentional restriction of substantial contribution administrative expenses may the other provisions of the Code be given their full and equitable result.

An overbroad interpretation of section 503(b)(3)(D) encroaches on the duty of the Trustee to administer the affairs of the bankruptcy estate. This duty includes investigating the financial affairs of the debtor and, if necessary, avoiding the transfers by the debtor that conceal property of the bankruptcy estate. *See Official Comm. Of Unsecured Creditors of Cybergenics Corp. v. Chinery (In re Cybergenics Corp.)*, 226 F.3d 237, 243 (3d Cir. 2000). If the trustee declines to use this authority, the court may, on appeal, grant a creditor derivative standing to pursue fraudulent transfer claims on behalf of the trustee. *Louisiana World Exposition v.*

Federal Inc. Co., 858 F.2d 233, 247 (5th Cir. 1988). Therefore, equity requires only that the Court abide by the limits of the Bankruptcy Code.

A. Section 503(b)(3)(D) provides a specific limit to the general list of allowable administrative expenses.

The Bankruptcy Code sets definite boundaries on the equitable powers of the bankruptcy courts. *See Norwest Bank Worthington*, 485 U.S. at 206. These boundaries define the authority to grant administrative expenses to certain creditors under certain circumstances. Section 507(a)(1) provides that administrative expenses have priority over other unsecured claims. *See Kucin v. Devan*, 251 B.R. 269, 271 (D. Md. 2000). Generally, administrative expenses under section 503(b) are the "actual and necessary costs" incurred by a creditor who provides some benefit or service to the estate. *See Ford Motor Credit Co. v. Dobbins*, 35 F.3d 860, 866 (4th Cir. 1994). Section 503(b)(3)(D) provides that a court may grant administrative expenses to a creditor who makes a substantial contribution to Chapter 9 and 11 cases. 11 U.S.C. § 503(b)(3)(D). A substantial contribution is a service that fosters or enhances the process of reorganization. *Hall Fin. Group v. DP Partners, Ltd. Pshp. (In re DP Partners, Ltd. Pshp.)*, 106 F.3d 667, 672 (5th Cir. 1997). Where Congress is clear, the courts are obliged to follow the language of a statute. *See Ron Pair Enterprises*, *Inc*., 489 U.S. at 241. While the use of the term "including" in section 503(b) creates a non-exhaustive list of allowable administrative expenses, the court should follow the specific and congressionally mandated limits proscribed by section 503(b)(3)(D). Concluding otherwise would render meaningless one section 503(b)(3)(D) in favor of section 503(b), thus frustrating the efficient and equitable fresh start for the debtor.

1. *The language "in a case under Chapters 9 or 11" of section 503(b)(3)(D) allows substantial contribution expenses only in Chapters 9 or 11 cases.*

The equitable powers of the bankruptcy courts may only exist within the boundaries established by the language of the Code. *Norwest Bank Worthington,* 485 U.S. at 206. ("[W]hatever equitable powers remain in the bankruptcy courts must and can only be exercised within the confines of the Bankruptcy Code."). To determine those boundaries, the inquiry begins with the Code's language. *See Ron Pair Enterprises*, *Inc*., 489 U.S. at 241 ("The task of resolving [a] dispute over the meaning of [a section of the Code] begins where all such inquiries must begin: with the language of the statute itself.") The language "of Chapters 9 and 11" is the boundary on the authority of the Court to grant administrative expenses for substantial contributions. *See id*. (citing *Caminetti v. United States*, 242 U.S. 470, 485 (1917) (holding that the inquiry ends and the Court is bound to enforce the Code according to its terms)). Even though granting Weinberg an administrative expense seems equitable, doing so falls outside the boundaries of section 503(b)(3)(D).

Where Congress is clear, as it was in section 503(b)(3)(D), the Court is bound to follow the limits it defines. *See Hartford Underwriters Inc. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (1942) (holding that when a statute's language is clear, the sole purpose of the courts is to enforce it according to its terms) (citation omitted); *see also Raleigh v. Illinois Dept. of Revenue*, 530 U.S. 15, 24–25. Section 503 of the Bankruptcy Code plainly permits courts to grant administrative expenses for certain claimants and under certain circumstances. *Speights & Runyan v. Celotex Corp. (In re Celotex Corp.)*, 227 F.3d 1336, 1338 (11th Cir. 2000). In the case of administrative expenses, adhering to the Code's guidelines is especially important because such expenses constitute priority claims. *See In re Flight Transport Corp. Securities Litigation*, 874 F.2d 576, 581 (8th Cir. 1989); *See also City of White Plains v. A & S Galleria*

Real Estate, Inc. (In re Federated Dep't Inc.), 270 F.3d 994, 1000 (2001) (holding that taxes assessed *prepetition* could not qualify as administrative expenses under a strict construction of section 503(b)). Priority claims are paid directly out of the bankruptcy estate and thus reduce the funds available to other creditors. *In re Flight Transport Corp. Securities Litigation*, 874 F.2d at 581. Section 503(b)(3)(D) provides that after notice and a hearing, the court shall allow administrative expenses for the actual and necessary costs incurred by a creditor who makes a substantial contribution "under Chapters 9 or 11." *See* 11 U.S.C. § 503(b)(3)(D). An inquiry into the meaning of this section ends with this language. A substantial contribution claim may only be granted an administrative expense "under Chapters 9 or 11." *See Lebron*, 27 F.3d at 945 (holding that expenses incurred after a chapter 11 case is converted to one under chapter 7 are not recoverable under section 503(b)(3)(D)). Therefore, Weinberg should not receive an administrative expense because his substantial contribution falls outside the permissible boundaries established in section 503(b)(3)(D).

2. *Well-established canons of statutory construction indicate that administrative expenses for substantial contributions are only permissible under Chapter 9 and 11 under section 503(b)(3)(D).*

An inquiry into section 503 as a whole reveals that substantial contribution claims may only be granted in Chapter 9 and Chapter 11 cases. *See id.* Certainly, the canons of statutory interpretation are guidelines that may point in opposite directions in any given case. *See* ANTONIN SCALIA AND BRYAN A. GARNER, READING LAW: THE INTERPRETATION OF LEGAL TEXTS 59 (2012) (citing Karl Llewellyn, *Remarks on the Theory of Appellate Decision and the Rules of Canons About How Statutes are To Be Construed*, 3 VAND. L. REV. 395, 402 (1949–50). But here, following multiple relevant canons leads to the same logical conclusion: substantial contribution claims are permitted only Chapter 9 and 11 cases.

a. The specific provision of section 503(b)(3)(D) governs over the general allowances of section 503(b).

The specific limitations in section 503(b)(3)(D) must supersede the general outline of administrative expenses provided by section 503(b). A statute's general permission to take certain actions must yield to the specific prohibition found in the same section. *Siegel*, 571 U.S. at 421. Certainly, section 503(b) provides a non-exhaustive list of permitted administrative expenses. *See United States v. Flo-Lizer, Inc. (In re Flo-Lizer, Inc.)*, 916 F.2d 363, 365 (6th Cir. 1990). Relying on that general language, the Sixth Circuit in *Mediofactoring v. McDermott* and the Thirteenth Circuit below held that substantial contribution claims are allowed administrative expenses in Chapter 7. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015) [hereinafter *Connolly*]; *see also* R. at 18. But in doing so, these courts completely disregarded § 503(b)(3)(D) which expressly limits substantial contribution administrative expenses to Chapters 9 and 11. *See Mosier v. Kupetz (In re United Educ. & Software)*, BAP No. CC-05-1067-MaMeP, 2005 Bankr. LEXIS 3408, at *7 (B.A.P. 9th Cir. 2005) (quoting *United States v. Ledlin (In re Mark Anthony Constr., Inc.)*, 886 F.2d 1101, 1106 (9th Cir.1989)). This Court should follow the principal that where a specific provision conflicts with a general provision, the specific prevails. *Radzanower v. Touch Ross & Co.*, 426 U.S. 148, 153 (1976).

This Court must give meaning to section 503(b)(3)(D) because it directly addresses the administrative expense at issue here. *See In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013). The Sixth Circuit had no need to expand the scope of section 503(b)(3)(D) beyond its intended scope to accommodate the "rare case." *See Connolly*, 802 F.3d. at 821 (O'Malley, J., dissenting). Administrative expenses should be strictly construed because they reduce the funds available to other creditors and claimants. *Mosier*, 2005 Bankr. LEXIS 3408, at *4. Despite the

Thirteenth Circuit following the Sixth Circuit and turning section 503 on its head by giving priority to the general provisions of section 503(b) over the definite limits of section 503(b)(3)(D), Weinberg could have protected himself and recovered his expenses under other provisions of the Code, specifically section 503(b)(3)(B). *See* 11 U.S.C. § 503(b)(3)(B). And while Weinberg may be the sole creditor at issue here, other creditors in other cases will come before the Court. The Court need not introduce uncertainty and inefficiency into the bankruptcy system to accommodate a creditor in a "rare case" when other provisions allow administrative expenses for the costs incurred by a creditor who pursues a fraudulent transfer by the debtor.

b. The inclusion of Chapters 9 and 11 in section 503(b)(3)(D) implies the exclusion of Chapter 7.

Congress implicitly excluded Chapter 7 from section 503(b)(3)(D) by expressly including Chapters 9 and 11. A well-established canon of statutory construction instructs that the inclusion of one specific thing in an associated list excludes those left unmentioned. *See NLRB v. SW General, Inc.*, 137 S.Ct. 929, 942 (2017). The strength of this canon depends greatly upon the context of the statute, and in the case of section 503(b)(3)(D), the context greatly strengthens the force of the section's negative implication. *See id.* (holding that the *expresio unis* cannon only applies when the context supports a sensible inference that a term left out was meant to be excluded).

First, the use of the term "including" in some provisions of section 503 but not others lends force to the restrictions of section 503(b)(3)(D). Where one section of a statute includes particular language, and another does not, a court should presume it to have been done intentionally. *See In re Hackney*, 351 B.R. at 201 (quoting *Russello v. United States*, 464 U.S. 16, 23 (1983)). As noted in *In re Hackney* by the Ninth Circuit Bankruptcy Appellate Panel, the five examples listed under section 503(b)(3) lack the term "including," unlike the six general

examples listed under section 503(b). *Id.* Section 503(b)(3)(D) should not be enlarged to allow substantial contribution administrative expenses by a creditor in a Chapter 7 case because the lack of the word "including" in that section 503(b)(3) requires the court to infer an intention to restrict it to the specifically listed examples. *Id.*

Second, the restrictions in section 503(b)(3)(D) command even greater weight because other provisions of section 503 expressly authorize reimbursement of expenses incurred in a Chapter 7 proceeding. *See Lebron*, 27 F.3d at 945. In *Lebron*, the Third Circuit denied a substantial contribution administrative expense that arose after the conversion of a Chapter 11 case to one under Chapter 7 because other provisions, notably sections 503(b)(3)(B) and (C), permitted recovery. *Id.* The Third Circuit noted that section 503(b)(3)(B) expressly allows the recovery of "the actual, necessary expenses . . . incurred by a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor." 11 U.S.C. § 503. Granting of this type administrative expense in light of the word "including" in sections 503(b) and (b)(1)(A), but not in section 503(b)(3)(D), solidifies the restriction of substantial contribution administrative expenses to Chapters 9 and 11.

Finally, the Court can only give meaning to the other provisions of section 503(b) that allow for the recovery of the type of administrative expenses at issue here if it stays within the scope of section 503(b)(3)(D). Section 503(b)(3)(B) directly addresses the type of administrative expense sought by Weinberg. *See Xifaras v. Morad (In re Morad)*, 328 B.R. 264, 270–271 (B.A.P. 1st Cir. 2005) (denying a claim under section 503(b)(3)(B) for the recovery of estate property fraudulently conveyed because court approval was not sought). Weinberg could have used the mechanism expressly provided by Congress in section 503(b)(3)(B) but he chose not to do so. The Court should decline to distort section 503(b)(3)(D) and give proper effect to the

other provisions in section 503(b) that were intended to address recovery of administrative expenses in Chapter 7 proceedings.

B. Equity requires only that the courts adhere to the limits of the Bankruptcy Code.

This Court need only adhere to the plain language of section 503 to ensure an efficient and equitable result for all parties involved. To preserve the integrity of the bankruptcy system, ensure the efficient disposition of the bankruptcy estate, and support the rehabilitation of the debtor while making whole all creditors requires that the express authority granted to the Chapter 7 trustee be protected from overbroad interpretation of section 503(b)(3)(D). Doing otherwise allows the creditor to usurp the authority expressly granted to a Chapter 7 trustee and introduces uncertainty and inefficiency into the carefully balanced system established by the Bankruptcy Code.

In Chapter 7 proceedings, the trustee has the paramount responsibility to act on behalf of the bankruptcy estate, including the pursuit of fraudulent transfers of estate funds by the debtor. *See Chinery*, 226 F.3d at 243. In order that the trustee fulfill this role, Congress expressly imposed certain duties upon the trustee that an overbroad interpretation of section 503(b)(3)(D) would render meaningless. *See id.*; *see also* 11 U.S.C. §§ 702, 704. Section 704(a)(4) of the Code dictates that the trustee *shall* investigate the financial affairs of the debtor. 11 U.S.C. § 704(a)(4). Under that Congressionally mandated authority, section 548 provides that the trustee *may* avoid any transfer of interest made by the debtor to hinder, delay, or defraud any creditor of the estate. 11 U.S.C. § 548(a)(1)(A). If a trustee declines to exercise that authority, there are well-recognized alternative and equitable methods by which a creditor may pursue, penalize, and recover for the benefit of the estate fraudulent transfers of the debtor. *Louisiana World Exposition*, 858 F.2d at 247.

It is a well-established that a court may grant a creditor derivative standing to act in the trustee's name to pursue avoidance actions. *See Glenny v. Langdon*, 98 U.S. 20, 26 (1878). Equitable principals dictate that if a trustee fails to pursue an avoidance action, a creditor may move to the bankruptcy court for an order permitting him or her to do so in the name of the trustee. *See Chatfield v. O'Dwyer*, 101 F. 797, 800 (8th Cir. 1900); *In re Spaulding Composites Co., Inc.*, 207 B.R. 899, 903 (9th Cir. B.A.P 1997); *Louisiana World Exposition*, 858 F.2d at 247. The Sixth Circuit itself recognized this principle when it held that the Code, and pre-Code practice, granted the bankruptcy courts the equitable power to authorize creditors to bring claims on behalf of the bankruptcy estate. *See Hyundai Translead, Inc. v. Jackson Truck & Trailer Repair, Inc. (In re Trailer Source, Inc.)*, 555 F.3d 231, 240 (6th Cir. 2009). The court based its holding on the express language of the Code, specifically section 503(b)(3)(B), which provides that creditors may be granted expenses on a priority basis for their efforts in recovering fraudulently transferred property for the benefit of the estate. *See id.*; 11 U.S.C. § 503(b)(3)(B). It is therefore unnecessary to distort section 503(b)(3)(D). Equity requires nothing more or less. The Code grants the trustee authority to pursue avoidance claims and if he or she fails to do so, allows a creditor to petition the court to pursue such claims instead.

In the case before the Court, Weinberg had a method to pursue the avoidance claims at issue and to recover expenses incurred thereby, yet he chose not to do so. This Court should decline to expand the reach of section 503(b)(3)(D) to include substantial contribution administrative expenses in Chapter 7 and ensure that the goals of bankruptcy, such as rehabilitating the financial affairs of the debtor, maximizing the value of the estate, and ensuring equality of treatment among creditors, are met as efficiently as possible. *See Claridge Assocs., LLC v. Schepis (in re Pursuit Capital Mgmt., LLC)*, No. 14-10610, 2018 Bankr. LEXIS 3385, at

*41 (Bankr. D. Del. Nov. 2, 2018). An overbroad interpretation of section 503(b)(3)(D) creates uncertainty and conflict, not only among the circuits but also within the bankruptcy system in general.

CONCLUSION

For the reasons above, Petitioner respectfully urges this Court to reverse the judgment of the Court of Appeals for the Thirteenth Circuits.

APPENDIX A

11 U.S.C. § 362

Automatic stay.

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

. . . .

> **(3)** any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

. . . .

(d) On request of a party in interest and after notice and a hearing, the court shall grant relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay--

> **(1)** for cause, including the lack of adequate protection of an interest in property of such party in interest;

. . . .

(f) Upon request of a party in interest, the court, with or without a hearing, shall grant such relief form the stay provided under subsection (a) of this section as is necessary to prevent irreparable damage to the interest of an entity in property, if such interest will suffer such damage before there is an opportunity for notice and a hearing under subsection (d) or (e) of this section.

APPENDIX B

11 U.S.C. § 363

Use, sale, or lease of property.

. . . .

(c)

(2) The trustee may not use, sell, or lease cash collateral under paragraph (1) of this subsection unless--

(A) each entity that has an interest in such cash collateral consents; or

(B) the court, after notice and a hearing, authorizes such use, sale, or lease in accordance with the provisions of this section.

. . . .

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. this subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief form the stay under section 362).

. . . .

(p) In any hearing under this section--

(p)(1) the trustee has the burden of proof on the issue of adequate protection; . . . .

. . . .

APPENDIX C

11 U.S.C. § 503

Allowance of administrative expenses.

. . . .

(b) After notice and a hearing, there shall be allowed, administrative expenses, other than claims allowed under section 502(f) of this title, including--

(1)(A) the actual, necessary costs and expenses of preserving the estate including—

. . . .

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(C) a creditor in connection with the prosecution of a criminal offense related to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

. . . .

APPENDIX D

11 U.S.C. § 541

Property of the estate.

(a) The commencement of a case under section 301, 302, or 303 of this title create an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

> **(1)** Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

. . . .

APPENDIX E

11 U.S.C. § 542

Turnover of property to the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit of the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

. . . .

APPENDIX F

11 U.S.C. § 548

Fraudulent transfer and obligations

(a)(1) The trustee may avoid any transfer (including any transfer to or for the benefit of an insider under an employment contract) of an interest of the debtor in property, or any obligation (including any obligation to or for the benefit of an insider under an employment contract) incurred by the debtor, that was made or incurred on or within 2 years before the date of the filing of the petition, if the debtor voluntarily or involuntarily--

(A) made such transfer or incurred such obligation with actual intent to hinder, delay or defraud any entity to which the debtor was or became, on or after the date that such transfer was made or such obligation was incurred, indebted;

. . . .

APPENDIX G

11 U.S.C. § 702

Election of trustee.

(a) A creditor may vote for a candidate for trustee only if such creditor--

(1) holds an allowable, undisputed, fixed, liquidated, unsecured claim of a kind entitled to distribution under section 726(a)(2), 726(a)(3), 726(a)(4), 752(a), 766(h), or 766(i) of this title;

(2) does not have an interest materially adverse, other than an equity interest that is not substantial in relation to such creditor's interest as a creditor, to the intertest of creditors entitled to such distribution; and

(3) is not an insider.

(b) At the meeting of creditors held under section 341 of this title, creditors may elect one person to serve as trustee in the case if election of a trustee is requested by creditors that may vote under subsection (a) of this section, and that hold at least 20 percent in amount of the claims specified in subsection (a)(1) of this section that are held by creditors that may vote under subsection (a) of this section.

(c) A candidate for trustee is elected trustee if--

(1) creditors holding at least 20 percent in amount of the claims of a kind specified in subsection (a)(1) of this section that are held by creditors that may vote under subsection (1) of this section vote; and

(2) such candidate receives the votes of creditors holding a majority in amount of claims specified in subsection (a)(1) of this section that are held by creditors that vote for a trustee.

(d) If a trustee is not elected under this section, then the interim trustee shall serve as trustee in the case.

APPENDIX H

11 U.S.C. § 704

Duties of trustee.

(a) The trustee shall--

. . . .

(4) investigate the financial affairs of the debtor;

. . . .